Addressing the privacy paradox on the organizational level: review and future directions

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Literature Review

Research on information privacy often starts with the “privacy paradox”. People say they care a lot about how firms use their personal data, but they still share information and rarely use tools to protect themselves. Many studies try to explain this gap by looking at single users. They use ideas such as risk–benefit thinking, privacy calculus, or the APCO model to link attitudes, concern, and behaviors. Other work focuses on laws and rules at country or industry level, such as data protection acts and sector-specific regulation. Together, these streams give rich insight into individuals and legal frameworks, but they say less about what firms actually do inside the organization.

Several earlier reviews point out this missing “company view”. They show that research is split across many fields and often uses different terms and measures for privacy. Because of this, results are hard to compare and it is unclear how managers should act in practice. Many authors ask for a broader view that connects customers, firms, ethics, and law, and that treats privacy as a long-term strategic issue rather than only a legal duty.

Gotsch and Schögel respond to this need. They review 138 papers published between 2001 and 2020 and identify 42 theories used to study privacy in a business context. From these papers, they build a dynamic model with four main areas of firm action: strategic initiatives, structural improvements, human resource management, and service development. Strategic initiatives include setting privacy goals, building trust, and using privacy in branding and industry standards. Structural improvements focus on data governance, internal responsibilities, and collection processes. HR management covers staff skills, training, and motivation to act in a privacy-friendly way. Service development includes privacy features, clear communication, and nudges that help customers protect their data. The authors argue that a strong “privacy orientation” across these areas can reduce paradoxical behaviors and create lasting competitive advantage for firms.